

While social and governance factors might seem less quantifiable, firms are increasingly recognising their long-term return on investment, say experts. Focussing on the social aspect enhances a firm's reputation, attracts talent, fosters customer loyalty and appeals to socially responsible investors, they say. Companies today recognise that strong social practices boost employee morale and productivity, differentiate the company in the market and drive sustainable growth. For instance, Britannia has programmes such as providing career guidance to employees' children aged 13-21 through an outside agency, offering travel support for female employees' nannies when they travel for work within India (for children under two years), and organising sessions by doctors on preventive medical care.

Meanwhile, companies with robust governance have been seen to outperform peers in profitability metrics, as such firms mitigate risks, drive operational efficiency, and are positioned for sustained growth, say experts. Focussing on the framework of rules, practices, and processes ensures transparency, accountability, and ethical decision-making. And these factors are essential to build investor confidence and maintain regulatory compliance, they say.

Agrees Vikash Kumar, Manager-Sustainability at NTPC, India's leading power generation company. The public sector undertaking has implemented robust corporate ESG management systems (ESGMS), including rigorous risk management systems and compliance mechanisms, he says. Focussing on ESG serves as a valuable tool for enhancing profitability by identifying areas where NTPC can improve efficiency, mitigate risks, and capitalise on emerging opportunities, says Kumar.

Experts say that fulfilling regulatory requirements is just the beginning. It is critical to go beyond compliance to use ESG data to drive organisational performance, and incorporate this information into decision-making to have a positive impact on the environment, society, and economy. The good thing is that companies have begun to realise that sustainability is a subject that can directly affect their top line and bottom line. "Indian organisations should use these regulations as a platform to go further and focus on product-level emissions monitoring and mitigation," says Manish Prasad, President & MD, SAP Indian Subcontinent, adding

that there is increasing regulatory momentum towards standardising ESG requirements for business. "We are moving toward a plastics tax, and the EU has already instituted CBAM to add charges to carbon-intensive products. These obligations will increasingly affect Indian businesses trading globally."

THE CHALLENGE

Fulfilling regulatory requirements and going beyond compliance requires preparation, awareness and understanding, and visibility of ESG metrics across the value chain and even entire economies. That is easier said than done. ESG reporting remains a complex and challenging task globally. And in India, not many companies choose to publish BRSR reports voluntarily. "India is very much a regulatory/compliance-led market. Many companies consider ESG reporting, specifically BRSR, Corporate Sustainability Reporting Directive (CSRD), and Carbon Border Adjustment Mechanism (CBAM) requirements through the regulatory lens," says Inderjeet Singh, Partner at Deloitte India. With Sebi mandating only 1,000 listed companies to provide detailed ESG reports, there is a long way to go in a country with around 16.3 million registered firms.

Meeting these reporting standards poses significant hurdles, particularly for companies unaccustomed to such comprehensive disclosure requirements. Around the world, companies struggle with the lack of standardised frameworks, varying stakeholder expectations, and the need for accurate, reliable data. In India, the primary challenges in ESG reporting include data collection, standardisation, and integration of ESG metrics into existing systems. This often leads to inconsistencies in data and difficulties in benchmarking.

Pradeep Panigrahi, Head-Corporate Sustainability at conglomerate L&T, says policies need to be Indianised as sometimes, frameworks/protocols of western countries do not work here. Also, each policy needs to be backed by foolproof guidance documents on all relevant metrics of ESG/BRSR.

To overcome such challenges, diversified conglomerate ITC Ltd has deployed an integrated sustainability data management system to collect, collate and analyse environmental and